PART 1 · MODULE D

Pricing and quotes

Price from your costs and the client's result, not from guesses.

D1. Illustrative pricing methods

Method	When it fits	Risk
Hourly	Unclear scope	Rewards slowness; clients cap hours
Fixed project	Clear scope	Scope creep
Retainer	Ongoing work	Hours not used or exceeded
Value-based	Clear business result	Needs proof of value

All figures below are illustrative examples, not market rates.

D2. Rate and quote calculator (tested)

PYTHON

```
def hourly_rate(monthly_income_goal, monthly_expenses, billable_hours, buffer_pct=15):
    """Illustrative: rate needed to reach a goal after expenses, with a buffer for unpaid gaps."""
    need = (monthly_income_goal + monthly_expenses) * (1 + buffer_pct / 100)
    return round(need / billable_hours, 2)

def project_quote(hours, rate, revisions_included=2, revision_hours=1.5, extra_revisions=0,
risk_pct=10):
    base = hours * rate
    risk = base * risk_pct / 100
    extra = extra_revisions * revision_hours * rate
    return {"base": round(base, 2), "risk_buffer": round(risk, 2), "extra_revisions": round(extra,
2), "total": round(base + risk + extra, 2)}

def deposit_schedule(total, deposit_pct=50):
    dep = round(total * deposit_pct / 100, 2)
    return {"deposit": dep, "balance": round(total - dep, 2)}

def proposal_win_rate(sent, interviews, hired):
    return {"reply_rate_pct": round(100 * interviews / sent, 1) if sent else 0.0,
"close_rate_pct": round(100 * hired / interviews, 1) if interviews else 0.0, "overall_pct":
round(100 * hired / sent, 1) if sent else 0.0}

print(hourly_rate(40000, 10000, 80, 15))
q = project_quote(10, 700, extra_revisions=2)
print(q)
print(deposit_schedule(q['total']))
print(proposal_win_rate(40, 8, 2))
assert hourly_rate(40000, 10000, 80, 15) == 718.75
assert q['total'] == 9800.0
print('pricing tests passed')
```

Reading the example. To earn 40,000 a month after 10,000 of costs, with 80 billable hours and a 15% buffer, the illustrative hourly rate is 718.75. A 10-hour job at 700 with two extra revisions totals 9,800 including a 10% risk buffer. A 50% deposit is 4,900. Of 40 proposals, 8 became interviews and 2 were hired: reply rate 20%, close rate 25%, overall 5%.

VERIFICATION NOTE

Marketplace fees, rules, tax rates and legal requirements change and differ by country. This book gives frameworks and checklists, not legal, tax or financial advice. Official links were not checked live in this draft; confirm every figure on the official site or with a qualified professional. All prices in examples are illustrative.

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